

2013 SCC OnLine All 8379

(BEFORE VINEET SARAN AND MANOJ KUMAR GUPTA, JJ.)

Shri Satguru Metalloys (Pvt.) Ltd. Petitioner

v.

State of U.P. and 3 Others Respondents

Counsel for Petitioner:- Bidhan Chandra Rai

Counsel for Respondent:- C.S.C., A.N. Singh, Nripendra Mishra

Writ - C No. - 54208 of 2013

Decided on October 4, 2013

Hon'ble Vineet Saran, J.

Hon'ble Manoj Kumar Gupta, J.

The case of the petitioner is that on its application for enhancement of load by additional 500 KVA, the petitioner has been required to furnish bank guarantee of an amount of Rs. 1,79,18,111/-. The impugned order dated 23.8.2013 has been passed in pursuance of the order dated 17.6.2013 whereby the provisions of Clause 4.49 of the U.P. Electricity Supply Code, 2005 have been invoked. The submission of the learned counsel for the petitioner is that although an assessment order was earlier passed on 4.8.2011 assessing a sum of Rs. 3,58,36,221/- to be paid by the petitioner which was challenged in appeal after depositing 50% of the amount and by order dated 9.4.21013 passed by the appellate authority the final assessment order dated 4.8.2011 has already been set aside and as such no demand can be raised against the petitioner merely because it has been left open to the assessing officer to pass a fresh order. It is submitted by the learned counsel for the petitioner that no fresh order has yet been passed. Learned counsel for the petitioner thus submits that the demand raised by the impugned order dated 17.6.2013 and the consequential order dated 23.8.2013 passed by respondents no. 3 and 4 respectively are liable to be quashed. It has further been submitted by the learned counsel for the petitioner that Clause 4.49 of the U.P. Electricity Supply Code, 2005 is wholly arbitrary and discriminatory and violative of Article 14 of the Constitution of India and as such the same is liable to be struck down.

In our opinion the matter requires consideration.

Learned Standing counsel has accepted notice for respondent no. 1; Sri. Nripendra Misra for respondents no. 3 and 4 and Sri. K.N. Singh for respondent no. 2. They pray for and are granted three weeks time to

file counter affidavit. The petitioner shall have two weeks thereafter to file rejoinder affidavit. List immediately thereafter.

Considering the facts and circumstances of this case and keeping in view that the final assessment order dated 4.8.2011 has already been set aside by the appellate authority vide its order dated 9.4.2013, the direction to the petitioner to furnish bank guarantee as per the impugned orders dated 17.6.2013 and 23.8.2013 shall remain stayed unless any fresh assessment order has been passed by the assessing authority in terms of the order of the appellate authority dated 9.4.2013.

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